Type MS · Price elasticity of demand: meaning, values and uses

Answer 1 of 13 · Question 4 part b · 6 marks

2023 NOV · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $\frac{\$22\,950 - \$20\,250}{\$20\,250} \times 100$ **OR** $\frac{\$\,2\,700}{\$\,20\,250} \times 100$ **(1)** Award 1 mark for correct percentage change = 13.33% **(1)** Award 2 marks if percentage change is correctly calculated as 13.33%, even if no calculations are shown Award 1 mark if percentage change is calculated as 13.33, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 1 of 13 · Question 4 part b · 6 marks

2023 NOV · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why price elasticity of demand (PED) may be relatively inelastic at Marina Café. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Price elasticity of demand (PED) is the responsiveness of demand to a change in price • Inelastic demand means a rise in price will lead to a smaller percentage change in the quantity demanded • PED is likely to be more inelastic at Marina Café because it is situated in a popular location, with sea and mountain views • This means that the degree of necessity is likely to be higher for customers wishing to enjoy the scenery at the same time as their drinks • Therefore, Marina Café has few substitutes because not many of the cafés will have the additional benefit of this location • In addition, the price of a coffee is a small percentage of income, meaning customers will be less likely to reduce their demand due to a rise in price • As a result, customers may be prepared to pay €1.20 more at Marina Café than at alternatives, or even pay more if the price was increased further

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 1 of 13 · Question 4 part b · 6 marks

2023 NOV · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether introducing division of labour is the best way for Raphael to increase productivity in his pastry-making factory. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Division of labour means dividing the production process into different stages where each worker specialises in one task • Productivity is the amount of output that can be produced in a period of time, with a given quantity of resources • Division of labour leads to less time being wasted as workers will not have to switch between different parts of production such as mixing ingredients and shaping the dough • This means the employees at the pastry-making factory can become more productive as they are able to develop skills in the task they perform, becoming more specialised • This may be particularly important in order for Raphael's factory to meet demand from the restaurants and street vendors in Madrid, to whom it sells • It can be easier to integrate machinery into the production process as the tasks are broken down into different stages **AO4** • However, the pastry-making factory employees may find doing the same task, such as combining the cooled mixture with egg, very boring and monotonous • This could mean they lose concentration and may make mistakes, leading to a lower rate of productivity • Therefore, a delay in supplying the pastry for churros to restaurants and street vendors in Madrid could occur and lead to a loss of business for the factory • This is especially likely as the restaurants are busy and may be unable to meet their own customer's demand for churros without the pastry • Improving the quality of labour by training employees to use pastry-making equipment could increase productivity more, as could investing in more advanced facilities with which to bake • It depends whether the pastry-making tasks require much training as they maybe more suited to the division of labour process • Raphael could introduce rotation of tasks to reduce the monotony or use division of labour alongside other factors, such as advanced baking facilities

Type MS · Price elasticity of demand: meaning, values and uses

Answer 1 of 13 · Question 4 part b · 6 marks

2023 NOV · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 1 of 13 · Question 4 part b · 6 marks

2023 NOV · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · Price elasticity of demand: meaning, values and uses

Answer 2 of 13 · Question 3 part d · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** **D** Increasing technological advancements	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **D** Education	**(1)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 2 of 13 · Question 3 part d · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark
3(c)	**AO2 2 marks** Award 1 mark for showing correct calculation. 0.85 x 95,000 **(1)** Award 1 mark for correct total revenue (TR). = $80 750 **(1)** Award 2 marks if TR is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**
Question number	**Answer**	**Mark**
3(d)	**AO1 1 mark** Inelastic **(1)** OFR applies e.g. if answer to 3(c) is less than $75 000, award 1 mark for elastic	**(1)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 2 of 13 · Question 3 part d · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • An increase in the ability to produce both capital and consumer goods is shown in figure 3 due to the outward shift of the PPF • Economic growth would allow this to happen as there is likely to be an increase in economic resources and improvements in technology over time • With the increase in resources and efficiency, it would be possible to increase production of both capital and consumer goods without the sacrifice of the other

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 2 of 13 · Question 3 part d · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question number	Indicative content
3(f)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages and improve working conditions for workers by putting pressure on employers during negotiations • SAFTU has nearly 700,000 members and is the 2nd largest federation in South Africa meaning it could have a lot of influence on employers • SAFTU is a new trade union group and so may have new ideas with which to push for workers' rights • The higher wages may reduce the quantity of labour that firms can afford to employ, thus meaning fewer workers are employed in the industry but those remaining receive higher wages • The use of a quantity/wage of labour diagram **AO4** • However, the influence of trade unions has been decreasing all over the world • The effectiveness of the trade unions may depend on whether their power and influence is restricted by legislation • When wage rates increase, if productivity also rises, firms may not have to reduce the number of workers they employ due to higher labour costs • There isn't enough information in the data to know whether 700,000 is a large proportion of the workforce and therefore how influential they might be • How effective trade unions are in influencing the price and quantity of labour may depend on whether firms can pass on increased costs through increased prices or reduced profit margins

Type MS · Price elasticity of demand: meaning, values and uses

Answer 2 of 13 · Question 3 part d · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 2 of 13 · Question 3 part d · 1 mark

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark

Type MS · Price elasticity of demand: meaning, values and uses

Answer 3 of 13 · Question 1 part h · 3 marks

2019 JUN · Paper 01 · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** **A** Land	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **A** $190 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to amount willing to be purchased and 1 mark for reference to price The quantity of goods/services consumers are willing and able to buy **(1)** at a given price **(1)**	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs	**(1)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 3 of 13 · Question 1 part h · 3 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part h in this mark scheme extract

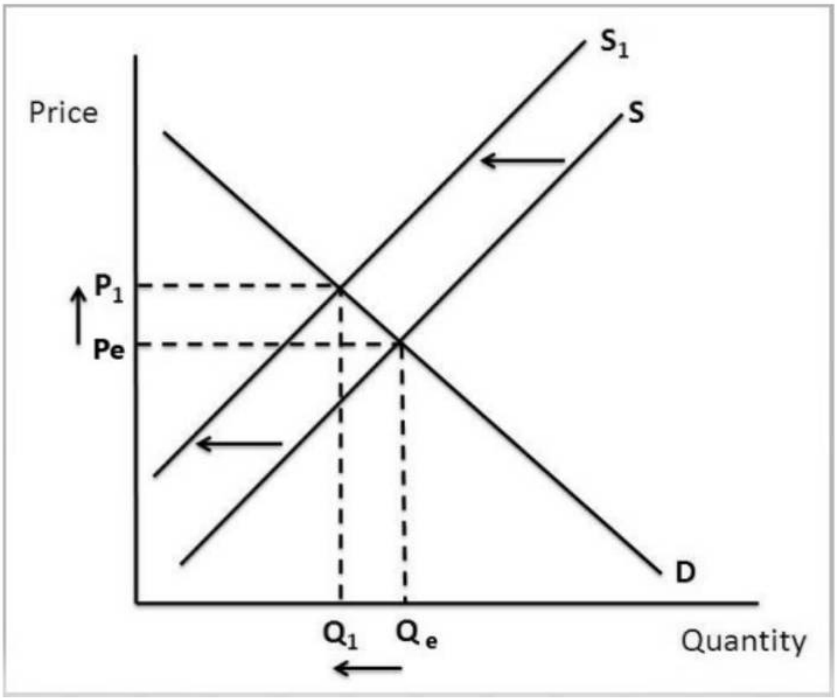
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for reference to the relevant sector of the economy The provision of services in the economy	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation $12 100 ÷ 2 000 **(1)** Award 1 mark for correct average cost per unit (AC) = $6.05 **(1)** Award 2 marks if average cost per unit is accurately calculated, even if no calculations are shown Award 1 mark if students show calculation and put 6.05 without the dollar sign Do not award marks for the formula	**(2)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 3 of 13 · Question 1 part h · 3 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part h in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context of music concerts • One reason is that there are no substitutes **(1)** if they want to see the artist performing live **(1)** the consumer will have no choice but to pay a high amount **(1)** Accept any other appropriate response	**(3)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 3 of 13 · Question 1 part h · 3 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part h in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Inca Kola was a major competitor of Coca-Cola and the market leader • Coca-Cola had a slightly lower share of the market than Inca Kola, with 32.0% compared to 32.9% • Inca Kola was well established in Peru (since 1935) • Buying a share of the company was a way to benefit from the success rather than struggle to compete • The purchase meant Coca-Cola no longer needed to compete with Inca Kola for market share • Coca-Cola's purchase means they have much more control over the Peruvian fizzy soft drinks market • Coca-Cola also gets a share of Inca Kola's profits

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 3 of 13 · Question 1 part h · 3 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part h in this mark scheme extract

Question number	Answer	Mark

Type MS · Price elasticity of demand: meaning, values and uses

Answer 4 of 13 · Question 1 part a · 1 mark

2020 JAN · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** **C** 0	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** $4 500 profit	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to both the public and private sectors and 1 mark for reference to providing goods and services The public and private sectors **(1)** provide goods and services between them **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Retailer/Banker/Teacher Accept any other appropriate response	**(1)**

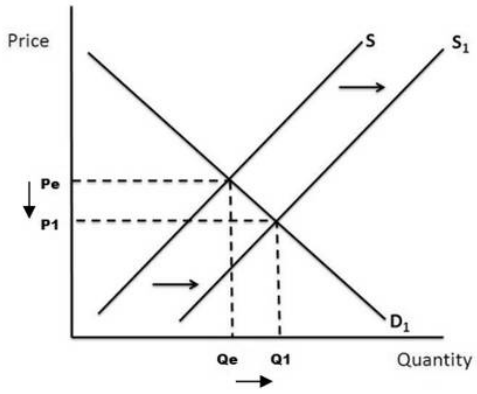
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A group with the authority to run a country or state Accept any other appropriate response	**(1)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 4 of 13 · Question 1 part a · 1 mark

2020 JAN · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 12 ÷ 5 **(1)** Award 1 mark for correct income elasticity of demand (YED) = 2.4 **(1)** Award 2 marks if YED is correctly calculated as 2.4, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 4 of 13 · Question 1 part a · 1 mark

2020 JAN · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the firm may not be able to employ additional staff **(1)** it cannot buy the computer system and employ additional staff **(1)** because it does not have enough resources/money to fund both **(1)** Accept any other appropriate response.	**(3)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 4 of 13 · Question 1 part a · 1 mark

2020 JAN · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An oligopoly is a market that is dominated by a few large producers • 87% of Dubai's shopping malls are owned by just five firms, meaning that the market is dominated by a few large producers • The shopping malls are differentiated by a variety of features such as an indoor ski slope and an indoor aquarium. Differentiation is a feature of an oligopoly • By offering something different the shopping malls are able to use non price competition to attract a share of the tourism sector that visits one of the busiest shopping destinations in the world • Sales are predicted to reach $71bn by 2021 making the owners of the shopping malls very dominant. This would create a barrier to entry, another feature of an oligopoly

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 4 of 13 · Question 1 part a · 1 mark

2020 JAN · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Price elasticity of demand: meaning, values and uses

Answer 5 of 13 · Question 4 part c · 12 marks

2020 JAN · Paper 01 · extract 1 of 4 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation €3 600 ÷ €40 **(1)** Award 1 mark for correct quantity = 90 cakes/units **(1)** Award 2 marks if quantity is accurately calculated as 90 cakes/units, even if no calculations are shown Award 1 mark if quantity is calculated as 90 with or without workings Do not award marks for the formula	**(2)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 5 of 13 · Question 4 part c · 12 marks

2020 JAN · Paper 01 · extract 2 of 4 · find part c in this mark scheme extract

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A takeover involves one firm buying control of another firm and is a form of external growth • Governments may want to control takeovers because if a firm such as Vodafone pays $21.8bn for Liberty Global it is likely to form a dominant company • If Vodafone grows larger due to the takeover it may have too much power in the cable TV market and therefore competition may be restricted • Restricted competition is bad for the market as it could lead to higher prices for consumers of cable TV and to reduced service • The building of a nationwide fibre-optic network may be delayed as a result of the takeover, meaning delays to improving the service offered • If Liberty Global remains as a separate company there is more competition available to challenge Vodafone and offer a better/more varied service to consumers

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 5 of 13 · Question 4 part c · 12 marks

2020 JAN · Paper 01 · extract 3 of 4 · find part c in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Price elasticity of demand (PED) measures the responsiveness of quantity demanded to a change in price • After VAT in South Africa increased by 1% in 2018, many goods and services were more expensive, meaning that demand for goods with elastic demand (PED >1) would have fallen by a larger percentage than the increase in price • As consumer spending and business confidence fell, it is likely many goods on which VAT is imposed, will have an elastic demand. Therefore, the South African Government would receive less revenue from these goods following the increase in VAT • By calculating PED, the government would be able to see the likely effect on demand following further VAT increases and therefore whether its revenue would increase or decrease following the rise **AO4** • However, PED is only an estimate and actual demand may not be the same as the calculations suggest • There may have been other factors affecting consumer spending and business confidence and so a further rise in VAT may not have the same effect as in 2018 • Goods and services such as fruit and vegetables may have an inelastic PED (<1) but as these are considered to be necessities, the South African Government has made them exempt from VAT anyway • PED would need to be calculated for many different products to allow an accurate prediction of the effect on government revenue • It may depend how much the government proposes increasing VAT by, as another 1% rise will lead to different revenue outcomes for them compared to a larger increase • PED may help the government decide whether to increase VAT again, but it may be better if used alongside other analysis of potential outcomes

Type MS · Price elasticity of demand: meaning, values and uses

Answer 5 of 13 · Question 4 part c · 12 marks

2020 JAN · Paper 01 · extract 4 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 6 of 13 · Question 2 part f · 2 marks

2020 NOV · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO2 1 mark** **C** Monopoly	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** Consumers have habits that are hard to give up	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation $\frac{\text{\% change in quantity supplied}}{\text{\% change in price}}$	**(1)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 6 of 13 · Question 2 part f · 2 marks

2020 NOV · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for identifying the variable costs 2 000 + 15 000 **(1)** Award 1 mark for calculating total variable costs = 17 000 QR **(1)** Award 2 marks if total variable costs are correctly calculated as 17 000QR, even if no calculations are shown Award 1 mark if total variable costs are correctly calculated as 17 000 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to obtaining control of another firm One firm buys control of another firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason In the short term, consumers may not be able to find an alternative product to switch to **(1)** and so it is only in the longer term that they have more opportunity to look for substitutes **(1)** Accept any other appropriate response	**(2)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 6 of 13 · Question 2 part f · 2 marks

2020 NOV · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that a fine may encourage the driver to stay within the speed limit **(1)** because driving too fast may cause accidents **(1)** therefore, fines are likely to reduce the number of accidents and reduce negative externalities **(1)** Accept any other appropriate response	**(3)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 6 of 13 · Question 2 part f · 2 marks

2020 NOV · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is when government organisations provide goods and services in an economy • The private sector is when the provision of goods and services is by businesses that are owned by individuals or groups of individuals • The economic problem is what, how and for whom to produce when there are finite resources to meet infinite wants • In the private sector businesses such as those producing electronics in Japan, are likely to want to meet the business objective of profit maximisation • Therefore there are likely to be fewer wasted resources, as firms try to keep costs as low as possible when meeting the demand from consumers. This is because resources are likely to be allocated according to the forces of supply and demand • It may therefore rely more on private sector ownership because this is likely to be more efficient when producing goods and services that consumers want, such as clothes, leisure and entertainment • This would mean private sector ownership is more effective in solving the economic problem **AO4** • However, with public sector ownership, the best interests of the public are more likely to be the main objective • Therefore reliance on mostly public sector ownership is likely to be more effective for goods and services that may not be produced in high enough quantities by private sector ownership, such as education, health and street lighting • Although public sector ownership may not be the most efficient, without it, resources may not be used to produce everything needed within an economy • Therefore countries such as Cuba may benefit more from producing with a higher reliance on public sector ownership when trying to solve the economic problem

Type MS · Price elasticity of demand: meaning, values and uses

Answer 6 of 13 · Question 2 part f · 2 marks

2020 NOV · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 6 of 13 · Question 2 part f · 2 marks

2020 NOV · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark

Type MS · Price elasticity of demand: meaning, values and uses

Answer 7 of 13 · Question 2 part a · 1 mark

2021 JUN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Y -0.5 A is not correct because it shows elastic demand B is not correct because this shows unitary elasticity D is not correct because the responsiveness is equal	**(1)**

Question Number	Which **one** of the following is the formula for calculating average cost? Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: Total cost **C** ---------- Quantity produced A is not correct because not only fixed cost is included B is not correct because revenue is not used in this calculation D is not correct because not only variable cost is included	**(1)**

Question Number	State **one** reason why governments intervene in the economy. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable reason • To correct market failure • Lack of competition • Lack of information Accept any other appropriate response	**(1)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 7 of 13 · Question 2 part a · 1 mark

2021 JUN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working. Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $89 - ($17 + $35) **(1)** Award 1 mark for correct profit = $37 **(1)** Award 2 marks if profit is correctly calculated as $37, even if no calculations are shown Award 1 mark if the answer given is 37 with or without calculations shown Do not award marks for a formula	**(2)**

Question Number	Define the term fine. Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition A financial penalty Accept any other appropriate response	**(1)**

Question Number	Describe **one** benefit to consumers of privatisation. Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the benefit and 1 mark for development of the benefit Firms are likely to offer lower prices **(1)** because they are trying to attract custom away from competitors **(1)** Accept any other appropriate response	**(2)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 7 of 13 · Question 2 part a · 1 mark

2021 JUN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** reason why Microsoft might have patents on its designs. Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that it would prevent competitors copying the designs **(1)** meaning Microsoft could charge higher prices to help recover the cost of research and development **(1)** needed to create the new computer software **(1)** Accept any other appropriate response	**(3)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 7 of 13 · Question 2 part a · 1 mark

2021 JUN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether a firm, such as a fast food restaurant, always benefits from using division of labour. Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Division of labour is where the production process is split into small tasks • It means that each worker can specialise on a single part of the production process, such as chopping lettuce to put in burgers or peeling potatoes to make the fries • This means they can become more skilled at that particular task and removes the need to move around the kitchen as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Employees may also enjoy their job more because they are better at it, making them more motivated and increasing productivity • Therefore customers at the fast food restaurants can be served more quickly, in-keeping with the concept of 'fast food' and leading to higher profits for the firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as frying burgers • Therefore they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the restaurant if it needs to replace employees • Mistakes or slow production at one stage (such as chopping lettuce) may hold up a later stage and therefore customers would still need to wait for their orders

Type MS · Price elasticity of demand: meaning, values and uses

Answer 7 of 13 · Question 2 part a · 1 mark

2021 JUN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 7 of 13 · Question 2 part a · 1 mark

2021 JUN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Which **one** of the following factors may cause a shift of the demand curve? Answer	Mark

Type MS · Price elasticity of demand: meaning, values and uses

Answer 8 of 13 · Question 2 part a · 1 mark

2022 JUN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this is unitary elasticity C is not correct because this is price inelastic D is not correct because the responsiveness is equal	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** External economies of scale A is not correct because this is when an individual firm benefits from falling average costs C is not correct because this results from higher average costs D is not correct because this is a type of internal economies of scale	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable disadvantage • Reduced profit • Higher (advertising) costs • Need to reduce prices Accept any other appropriate response	**(1)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 8 of 13 · Question 2 part a · 1 mark

2022 JUN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $75 000 + ($525 x 1350) **(1)** Award 1 mark for correct total costs = $783 750 **(1)** Award 2 marks if total costs per month are correctly calculated as $783 750, even if no calculations are shown Award 1 mark for 783 750, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • One firm buying out another firm • Obtaining control of a firm by buying over 50% of its shares Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • They may develop buying habits **(1)** to stay loyal to a particular brand they enjoy **(1)** • They may copy the behaviour of others **(1)** in order to fit in with others in a group **(1)** Accept any other appropriate response	**(2)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 8 of 13 · Question 2 part a · 1 mark

2022 JUN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price increase would increase the quantity supplied **(1)**. An increase from $4.50 to $5.00 results in more units **(1)** because producers would increase profits **(1)** • A price decrease would decrease the quantity supplied **(1).** A decrease from $4.50 to $4.00 results in fewer units **(1)** leading to a movement along the supply curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 8 of 13 · Question 2 part a · 1 mark

2022 JUN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The supply of labour is the number of people willing and able to work • It can be affected by many factors, including skills and qualifications • Normally, the supply of labour will increase if there is an increase in the number of people qualified to work in that industry • There has been an increase in the number of graduates with degrees in science, maths and modern languages • By having a degree in these subjects, graduates are more likely to be attracted into the teaching profession by the bonus payment of £9 000 • Therefore, having a degree in science, maths or modern languages would lead to an incentive of higher wages, meaning that the supply of teachers should increase with an increase in skills and qualifications **AO4** • However, it may depend on other factors such as working conditions in teaching because long hours, bureaucracy and student behaviour may deter those with skills and qualifications to teach • If the skills and qualifications can be used by other occupations, graduates may move to alternative types of employment and will not increase the supply of teachers • The bonus is only available to teachers with degrees in maths, science and modern languages and so those qualified in other subjects may find it more beneficial to work in other types of employment • Therefore, an increase in skills and qualifications may not always lead to an increase in the supply of teachers

Type MS · Price elasticity of demand: meaning, values and uses

Answer 8 of 13 · Question 2 part a · 1 mark

2022 JUN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 8 of 13 · Question 2 part a · 1 mark

2022 JUN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Price elasticity of demand: meaning, values and uses

Answer 9 of 13 · Question 2 part c · 1 mark

2023 JUN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Excess supply A is not correct because this would lead to a shortage of goods in the market C is not correct because lower prices may be needed to sell unsold goods D is not correct because this would not result from unsold goods in the market	**(1)**

Question number	Which **one** of the following statements is correct? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Quantity supplied will fall when price falls A is not correct because this is only true when supply is fixed B is not correct because supply is affected by changes in price D is not correct because the supply curve does not shift due to a price change	**(1)**

Question number	State the name for price elasticity of demand (PED) with a numerical value of -1. **Answer**	**Mark**
2(c)	**AO1 1 mark** Award 1 mark for the correct type of price elasticity of demand (PED) • Unitary	**(1)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 9 of 13 · Question 2 part c · 1 mark

2023 JUN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation -2.7%/-1.9% **(1)** Award 1 mark for correct PES 1.42 **(1)** Award 2 marks if PES is correctly calculated as 1.42, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Define the term substitute. **Answer**	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • An alternative bought/produced in place of something else Accept any other appropriate response	**(1)**

Question number	Describe **one** reason why a firm might stay small. **Answer**	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • It may already be making enough money **(1)** to satisfy the needs of the owner **(1)** • The size of the market may be small **(1)** which means expansion is difficult **(1)** Accept any other appropriate response	**(2)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 9 of 13 · Question 2 part c · 1 mark

2023 JUN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question number	Explain **one** advantage of positive reviews for the owners of food stalls in Taba. **Answer**	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the advantage being in context • Stalls offering quality food will gain more customers **(1)** because customers will be attracted by the positive reviews **(1)** instead of buying from competitors **(1)** • Demand will increase for food from these stalls **(1)** leading to an increase in revenue **(1)** which will increase profit for the food stall owners **(1)** Accept any other appropriate response	**(3)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 9 of 13 · Question 2 part c · 1 mark

2023 JUN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether a monopoly such as PKP is likely to benefit consumers. **Indicative content**
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A monopoly is a market structure with one dominant seller in the market • PKP is the main rail carrier for passenger and freight services in Poland, making it a monopoly • Due to its dominance of the rail network in Poland, PKP may be able to take advantage of economies of scale • This means that the firm may have low (long-run) average costs as a result of purchasing or technical economies of scale • Therefore, it is possible that PKP could decide to pass the lower costs on to its passengers in the form of lower prices • PKP may also be more efficient because it is not duplicating resources, such as the railway tracks, used by competitors • This may have helped PKP to meet the transport needs of the state; one of its aims • PKP may also be able to innovate due to its lower (long-run) average costs, meaning it may be able to provide a high-quality service on its trains **AO4** • However, as it has few competitors, rail passengers and those transporting freight have little choice but to use PKP's service • This means PKP can be a price maker for its train services, which is not in the interest of its consumers • There is restricted choice in the market, such as which routes a passenger can take. This is because there is only one main supplier • PKP may be inefficient because it does not need to keep its costs low in order to compete with limited competition • It may be that PKP does not have any incentive to spend money on product innovation and some areas may not have access to train travel

Type MS · Price elasticity of demand: meaning, values and uses

Answer 9 of 13 · Question 2 part c · 1 mark

2023 JUN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · Price elasticity of demand: meaning, values and uses

Answer 9 of 13 · Question 2 part c · 1 mark

2023 JUN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question number		Mark
	Income elasticity of demand (YED) for a product is -0.43 and the price elasticity of demand (PED) for the same product is -0.27. The data above shows that the product is **Answer**	

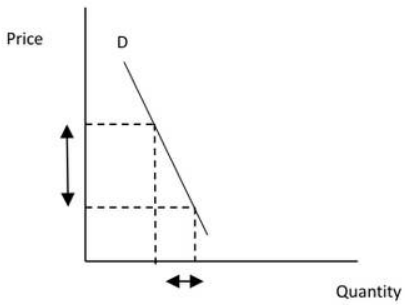
Type MS · Price elasticity of demand: meaning, values and uses

Answer 10 of 13 · Question 3 part e · 9 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: A Farmer B is not correct because this is secondary C is not correct because this is tertiary D is not correct because this is the tertiary sector	**(1)**

Question number	Total revenue can be defined as the quantity of goods sold **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** multiplied by the price A is not correct because this does not allow total revenue to be calculated B is not correct because this does not define total revenue D is not correct because this does not calculate revenue	**(1)**

Question number	Using the diagram below, draw a diagram to show a demand curve that has price inelastic demand. Label the curve and show the impact on both axes from a change in price. **Answer**	**Mark**
3(c)	**AO2 3 marks** Award 1 mark for drawing inelastic demand curve, labelled Award 1 mark for showing greater price change on the axis Award 1 mark for showing a smaller change in the quantity on the axis  	**(3)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 10 of 13 · Question 3 part e · 9 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the possible advantages of privatisation for TAP Air. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Privatisation is the act of selling a firm controlled by the government to private investors • TAP Air may benefit from investment in the airline from private investors wanting to put a structure in place capable of maximising profit • This means that there may be more money available to allow the airline to become more established and increase sales of flights to passengers, possibly expanding further than the operations in Portugal • In addition, an objective of profit maximisation may enable efficiency to improve within the airline and lower costs • Greater efficiency may also be enjoyed through less bureaucracy and political interference from the Portuguese Government, especially if the new owners are more experienced in operating an airline

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 10 of 13 · Question 3 part e · 9 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether an increase in the price of Prime Hydration is always likely to lead to an increase in total revenue for retailers. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Price elasticity of demand (PED) measures the responsiveness of demand to a change in price • A product has an inelastic PED if the percentage change in demand is less than the percentage change in price. The greater the difference, the more price inelastic the demand for the product • At its launch, Prime Hydration was very popular, especially with teenagers, in part due to the association with celebrities KSI and Logan Paul • These factors are likely to lead to an inelastic PED, especially due to the lack of substitutes and relatively low proportion of income spent on the drink • When there is a price increase, for example from £1.99 to £8.25 (315% increase), a product with an inelastic PED is likely to lead to a higher total revenue • This is due to demand falling by a lower percentage than the increase in price • Therefore, retailers selling Prime Hydration at increased prices are likely to receive more in total revenue **AO4** • However, if availability is not guaranteed, products cannot be sold and revenue cannot be gained • Over time demand is likely to become more price elastic • This may be due to consumers finding alternative products, supply increasing or because the drink may go out of fashion and/or the YouTube celebrities may no longer be as popular • It may depend on how much the price increases because demand is based on a consumer's ability and willingness to buy the drink • Therefore, if the price was increased too much, some consumers would no longer be able to afford to buy the drink and some would no longer be willing, as other products would be more of a necessity • As a result, an increase in price of Prime Hydration may only lead to an increase in total revenue in the short term

Type MS · Price elasticity of demand: meaning, values and uses

Answer 10 of 13 · Question 3 part e · 9 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · Price elasticity of demand: meaning, values and uses

Answer 10 of 13 · Question 3 part e · 9 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question number	Calculate the **total variable costs** of this order for the firm. You are advised to show your working. **Answer**	**Mark**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 11 of 13 · Question 1 part a · 1 mark

2024 JUN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Infinity A is not correct because this is unitary elasticity B is not correct because demand is price inelastic C is not correct because this is perfectly price inelastic demand	**(1)**

Question number	A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** €211.40 A is not correct because this is only one hour of labour B is not correct because this is less than the minimum wage for a 35-hour week D is not correct because this is not the lowest amount that can be earned	**(1)**

Question number	What is meant by the term mixed economy? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The state/public and private sectors **(1)** provide goods/services between them **(1)** Accept any other appropriate response	**(2)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 11 of 13 · Question 1 part a · 1 mark

2024 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question number	State **one** example of an occupation that is in the tertiary sector of an economy. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Teacher/Retailer/Banker Accept any other appropriate response	**(1)**

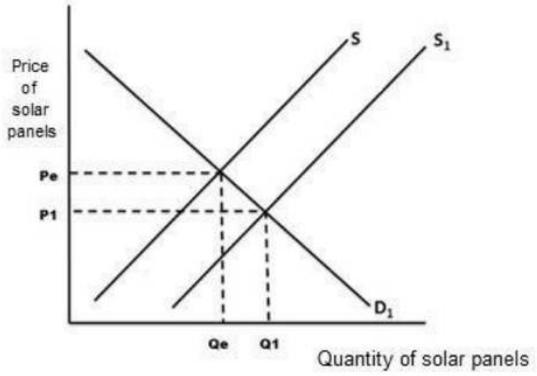
Question number	Define the term producer. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that makes/creates goods/services Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 11% ÷ 7% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 1.57 **(1)** Award 2 marks if YED is correctly calculated as 1.57, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 11 of 13 · Question 1 part a · 1 mark

2024 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of supply, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain one possible opportunity cost for Casper of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is Casper may not be able to buy a new phone **(1)** because he does not have enough money for both **(1)** so he has to sacrifice the next best alternative when using the money he has to buy the television **(1)** Accept any other appropriate response	**(3)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 11 of 13 · Question 1 part a · 1 mark

2024 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse **two** possible factors influencing Anastasia's decision to open a second club. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Factors influencing the growth of firms include the desire to spread risk, to take over competitors, access to finance, economies of scale and government regulation • The martial arts club has been successful for a few years, meaning Anastasia may have access to finance • Therefore, she may have enough finance with which to open a second club in another district of Budapest • Although the club is successful in District 16, Anastasia may wish to spread the risk • In case demand changes at her existing club the revenue from the second club is able to support the running of the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 11 of 13 · Question 1 part a · 1 mark

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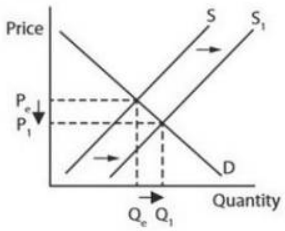
Question number	Which **one** of the following diagrams shows excess supply? **Answer**	**Mark**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 12 of 13 · Question 1 part h · 3 marks

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1(a)	**AO1 1 mark** The only correct answer is: **C** The next best alternative given up A is not correct because this is business competition B is not correct because this gives no alternative choice D is not correct because this is spare capacity	**(1)**

Question number	Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is **A**  B is not correct because this would be due to a change in price C is not correct because this is a decrease in supply D is not correct because this is a movement along the supply curve	**(1)**

Question number	What is meant by the term external benefit? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition A positive effect **(1)** enjoyed by a third party **(1)** Accept any other appropriate response	**(2)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 12 of 13 · Question 1 part h · 3 marks

2024 NOV · Paper 01 · extract 2 of 5 · find part h in this mark scheme extract

Question number	State **one** example of an external cost. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Pollution • Congestion • Environmental damage Accept any other appropriate response	**(1)**

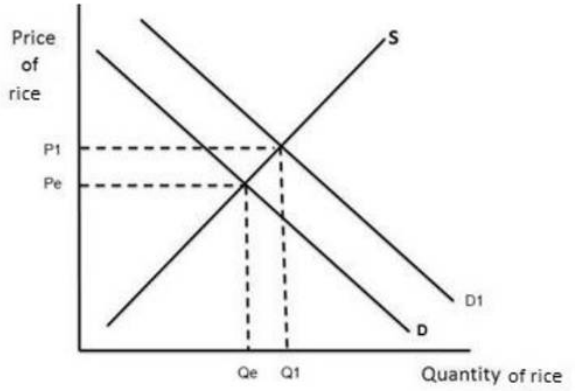
Question number	Define the term takeover. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition When one firm takes control of another firm Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -3.7%/-9.4% **(1)** Award 1 mark for correct PES = 0.39 **(1)** Award 2 marks if PES is correctly calculated as 0.39 even if no calculations are shown Award 1 mark if PES is calculated as 0.39%, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 12 of 13 · Question 1 part h · 3 marks

2024 NOV · Paper 01 · extract 3 of 5 · find part h in this mark scheme extract

Question number	Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the demand curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** reason why demand for a product, such as a soft drink, usually becomes more price elastic over time. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • In the short term, consumers may not be able to break their habit **(1)** but in time they are able to reduce consumption **(1)** meaning that they buy less of the sugary products **(1)** • More firms may enter the market **(1)** meaning more substitutes are available **(1)** so, in time, the difference in PED is 0.5 more elastic **(1)** Accept any other appropriate response	**(3)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 12 of 13 · Question 1 part h · 3 marks

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Question number	With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce chocolate. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Cocoa pods and sugar are natural resources, which are all examples of land being needed to produce chocolate • The cocoa pods are picked by hand which means labour is needed • Ovens in which the cocoa beans are roasted are examples of capital, because these are man-made • Enterprise combines the other factors of production to make sure the production from cocoa to chocolate takes place effectively to get the finished product to the consumer • Thus, all four factors of production may be used to produce chocolate, as without any one of them the process would not be completed as efficiently

Level	Mark	Descriptor
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Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 12 of 13 · Question 1 part h · 3 marks

2024 NOV · Paper 01 · extract 5 of 5 · find part h in this mark scheme extract

Question number	Which **one** of the following options is the most suitable term for the type of market shown in Figure 2? **Answer**	**Mark**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 13 of 13 · Question 2 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this shows unitary elasticity C is not correct because it shows inelastic demand D is not correct because it is perfectly inelastic	**(1)**

Question number	Which **one** of the following is the formula for calculating average cost? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Total cost ÷ quantity produced B is not correct because only fixed cost is included C is not correct because only variable cost is included D is not correct because revenue is not used in this calculation	**(1)**

Question number	Calculate the **profit or loss** for the firm for each calculator. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation $12.50 - ($3.25 + $4.58) **(1)** Award 1 mark for calculating correct profit = $4.67 **(1)** Award 2 marks if profit is correctly calculated as $4.67, even if no calculations are shown Award 1 mark if the answer given is 4.67 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term patent?	**Mark**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 13 of 13 · Question 2 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

	Answer	
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A licence to be the only producer **(1)** of a newly designed product **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** advantage to a firm of being privatised. **Answer**	**Mark**
2(e)	**AO1 2 marks** Award 1 mark for reference to the advantage and 1 mark for development of the advantage The firm is able to set its own objectives **(1)** as it takes control over its own actions **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** reason why the US Government may use fines to reduce the negative externalities caused by motorists who drive through a red traffic light. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • It may encourage the driver to stop. **(1)** As driving through a red traffic light may cause accidents, **(1)** fines are likely to reduce the number of accidents **(1)** • It may reduce accidents **(1)** because the driver does not want to be fined, **(1)** so they are less likely to drive through a red light **(1)** Accept any other appropriate response	**(3)**

Type MS · Price elasticity of demand: meaning, values and uses

Answer 13 of 13 · Question 2 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether a car manufacturer always benefits from using division of labour. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • By using division of labour each worker at the car manufacturing firm can specialise on a single part of the production process, such as inspection or testing • This means they can become more skilled at that particular task and removes the need to move around the factory as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Therefore, car dealers buying the vehicles and their customers can be sold the cars more quickly and/or at lower prices, potentially leading to higher revenue for the car manufacturing firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as welding a specific component • Therefore, they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the car manufacturer if it needs to replace employees • Mistakes or slow production at one stage (such as painting) may hold up a later stage and therefore customers would still need to wait for their car orders

Type MS · Price elasticity of demand: meaning, values and uses

Answer 13 of 13 · Question 2 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Price elasticity of demand: meaning, values and uses

Answer 13 of 13 · Question 2 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question number	Which **one** of the following could cause a shift in the demand curve for a product? **Answer**	**Mark**